

Apple Inc.

Three-Statement Operating Model

Cupertino, California · NASDAQ: AAPL · US\$ billions unless stated · as of FY2025 10-K (27 Sep 2025)

What this is

An integrated three-statement forecast for Apple, FY2026E–FY2030E, driven from one assumptions sheet with Base, Upside and Downside cases selected in a single cell. The foundation for the DCF (Project 2), the merger model (Project 6) and the LBO (Project 7).

How it is built

- Historicals FY2022–FY2025 spread from Form 10-K and reconciled: every subtotal ties to the reported statements.
- Revenue grows at a scenario rate; margins, opex, tax, D&A, capex and SBC are percentages of revenue; working capital is on days.
- Buybacks are a percentage of free cash flow after dividends, matching Apple's 'net cash neutral' policy; a revolver plugs any shortfall against a US\$25bn cash floor.
- Interest on opening balances (no circularity). Share count retires buybacks at an assumed price path. A Checks sheet must read MODEL OK.

Contents

[Summary](#) — [key outputs for the selected scenario](#)
[Inputs](#) — [assumptions, three cases, scenario selector](#)
[Historical](#) — [FY2022–FY2025 spread and reconciled to the 10-K, with calibration ratios](#)
[Model](#) — [integrated income statement, balance sheet, cash flow, PP&E / debt / revolver / share-count schedules](#)
[Checks](#) — [balance, cash tie, schedule ties, minimum cash, historical net income tie](#)

Key outputs (live)

Revenue FY2030E (US\$bn)	526.0
Diluted EPS FY2030E (US\$)	11.08
Free cash flow FY2030E (US\$bn)	159.5
Net cash FY2030E (US\$bn)	33.8
Model status	MODEL OK

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Apple Inc. Form 10-K FY2022–FY2025, SEC EDGAR CIK 0000320193: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000320193&type=10-K>
Figures pulled via Yahoo Finance and reconciled to reported subtotals; share price for buyback share count ≈ late-September 2025 close.

Prepared by

Jainam Mehta · github.com/jainammehta1215/ib-portfolio

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Key outputs for the selected scenario · toggle Inputs!C4 to compare

Scenario: Base

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	394.3	383.3	391.0	416.2	441.1	463.2	486.3	505.8	526.0
growth	-	(2.8%)	2.0%	6.4%	6.0%	5.0%	5.0%	4.0%	4.0%
Gross margin	43.3%	44.1%	46.2%	46.9%	47.0%	47.2%	47.4%	47.5%	47.5%
EBIT	119.4	114.3	123.2	133.1	141.6	149.6	158.1	164.9	171.5
EBIT margin	30.3%	29.8%	31.5%	32.0%	32.1%	32.3%	32.5%	32.6%	32.6%
Net income	99.8	97.0	93.7	112.0	119.4	126.1	133.1	138.8	144.3
Diluted EPS (US\$)	6.11	6.13	6.08	7.46	8.17	8.87	9.64	10.35	11.08
Free cash flow	111.4	99.6	108.8	98.8	131.6	139.2	146.9	153.2	159.5
Shareholder returns	104.2	92.6	110.2	106.1	131.6	139.2	146.9	153.2	159.5
Cash & ST investments	48.3	61.6	65.2	54.7	59.7	64.7	69.7	71.7	73.7
Total debt incl. revolver	120.1	111.1	106.6	98.7	93.7	88.7	83.7	80.7	77.7
Net debt / (net cash)	(49.0)	(51.0)	(50.0)	(33.8)	(33.8)	(33.8)	(33.8)	(33.8)	(33.8)
Shares outstanding (bn)	15.943	15.550	15.117	14.773	14.373	13.972	13.571	13.176	12.787

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Assumptions · edit blue cells only · scenario selector in C4

Scenario selector (1 Base · 2 Upside · 3 Downside) 1 Base

Interest is computed on opening balances to avoid a circular reference. In Excel you may switch to average balances after enabling File → Options → Formulas → Iterative calculation.

GENERAL INPUTS						
Interest rate on debt	4.0%					Blended coupon on Apple's notes; FY2025 interest expense ≈ 3.9% of average debt (10-K)
Yield on cash & investments	4.0%					Approximate yield on Apple's short- and long-term marketable securities
Revolver interest rate	5.5%					Assumed commercial-paper / revolver rate
Minimum cash balance (US\$bn)	25.0					Operating cash floor; revolver draws when forecast cash falls below this
Share price at FY2025 year-end (US\$)	254.0					Approximate closing price late September 2025; used only for buyback share count
Share price growth p.a. for buyback math	6.0%					Assumed; affects share count and EPS, not cash
FORECAST DRIVERS BY SCENARIO (the 'Selected' row feeds the Model)						
	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	Basis / source
Revenue growth						FY2023–25 growth: -2.8%, +2.0%, +6.4%. Base assumes mid-single-digit growth led by services.
Base	6.0%	5.0%	5.0%	4.0%	4.0%	
Upside	9.0%	8.0%	7.0%	6.0%	6.0%	
Downside	2.0%	2.0%	2.0%	2.0%	2.0%	
Selected	6.0%	5.0%	5.0%	4.0%	4.0%	
Gross margin						FY2025 gross margin 46.9%; services mix lifts it in Base and Upside; tariffs/pricing pressure in Downside.
Base	47.0%	47.2%	47.4%	47.5%	47.5%	
Upside	48.0%	48.5%	49.0%	49.2%	49.5%	
Downside	45.5%	45.0%	45.0%	45.0%	45.0%	
Selected	47.0%	47.2%	47.4%	47.5%	47.5%	
R&D as % of revenue						FY2025: 8.3%
Base	8.3%	8.3%	8.3%	8.3%	8.3%	
Upside	8.2%	8.2%	8.2%	8.2%	8.2%	
Downside	8.6%	8.6%	8.6%	8.6%	8.6%	
Selected	8.3%	8.3%	8.3%	8.3%	8.3%	
SG&A as % of revenue						FY2025: 6.6%
Base	6.6%	6.6%	6.6%	6.6%	6.6%	
Upside	6.4%	6.4%	6.4%	6.4%	6.4%	
Downside	6.8%	6.8%	6.8%	6.8%	6.8%	
Selected	6.6%	6.6%	6.6%	6.6%	6.6%	
Effective tax rate						FY2025: 15.6% (FY2024 24.1% distorted by the EU State Aid charge)
Base	16.5%	16.5%	16.5%	16.5%	16.5%	
Upside	16.0%	16.0%	16.0%	16.0%	16.0%	
Downside	17.5%	17.5%	17.5%	17.5%	17.5%	
Selected	16.5%	16.5%	16.5%	16.5%	16.5%	
D&A as % of revenue						FY2023–25: 3.0%, 2.9%, 2.8%
Base						
Upside						
Downside						
Selected						

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Assumptions · edit blue cells only · scenario selector in C4

Base	2.8%	2.8%	2.8%	2.8%	2.8%
Upside	2.8%	2.8%	2.8%	2.8%	2.8%
Downside	2.9%	2.9%	2.9%	2.9%	2.9%
Selected	2.8%	2.8%	2.8%	2.8%	2.8%

Capex as % of revenue	FY2025: 3.1%; Base holds it, Upside adds AI/data-centre spend				
Base	3.1%	3.1%	3.1%	3.1%	3.1%
Upside	3.3%	3.3%	3.3%	3.3%	3.3%
Downside	2.8%	2.8%	2.8%	2.8%	2.8%
Selected	3.1%	3.1%	3.1%	3.1%	3.1%

Stock-based compensation as % of revenue	FY2025: 3.1%; non-cash, added back in CFO and to equity				
Base	3.1%	3.1%	3.1%	3.1%	3.1%
Upside	3.1%	3.1%	3.1%	3.1%	3.1%
Downside	3.1%	3.1%	3.1%	3.1%	3.1%
Selected	3.1%	3.1%	3.1%	3.1%	3.1%

Receivable days (on revenue)	FY2025: 64 days incl. vendor non-trade receivables				
Base	64.0	64.0	64.0	64.0	64.0
Upside	62.0	62.0	62.0	62.0	62.0
Downside	67.0	67.0	67.0	67.0	67.0
Selected	64.0	64.0	64.0	64.0	64.0

Inventory days (on COGS)	FY2025: 9.5 days				
Base	10.0	10.0	10.0	10.0	10.0
Upside	9.0	9.0	9.0	9.0	9.0
Downside	12.0	12.0	12.0	12.0	12.0
Selected	10.0	10.0	10.0	10.0	10.0

Payable days (on COGS)	FY2025: 115 days				
Base	115.0	115.0	115.0	115.0	115.0
Upside	117.0	117.0	117.0	117.0	117.0
Downside	110.0	110.0	110.0	110.0	110.0
Selected	115.0	115.0	115.0	115.0	115.0

Other current assets as % of revenue	FY2025: 3.5%				
Base	3.5%	3.5%	3.5%	3.5%	3.5%
Upside	3.5%	3.5%	3.5%	3.5%	3.5%
Downside	3.5%	3.5%	3.5%	3.5%	3.5%
Selected	3.5%	3.5%	3.5%	3.5%	3.5%

Other current liabilities as % of revenue	FY2025: 18.0% (accrued, deferred revenue, tax payable)				
Base	18.0%	18.0%	18.0%	18.0%	18.0%
Upside	18.0%	18.0%	18.0%	18.0%	18.0%
Downside	18.0%	18.0%	18.0%	18.0%	18.0%

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Assumptions · edit blue cells only · scenario selector in C4

Selected	18.0%	18.0%	18.0%	18.0%	18.0%
----------	-------	-------	-------	-------	-------

Other non-current assets as % of revenue	FY2025: 20.1% incl. deferred tax assets				
--	---	--	--	--	--

Base	20.0%	20.0%	20.0%	20.0%	20.0%
Upside	20.0%	20.0%	20.0%	20.0%	20.0%
Downside	20.0%	20.0%	20.0%	20.0%	20.0%
Selected	20.0%	20.0%	20.0%	20.0%	20.0%

Other non-current liabilities as % of revenue	FY2025: 10.0%				
---	---------------	--	--	--	--

Base	10.0%	10.0%	10.0%	10.0%	10.0%
Upside	10.0%	10.0%	10.0%	10.0%	10.0%
Downside	10.0%	10.0%	10.0%	10.0%	10.0%
Selected	10.0%	10.0%	10.0%	10.0%	10.0%

Change in long-term investments (US\$bn, negative = sold)	Apple has run down long-term securities from \$121bn (FY22) to \$78bn (FY25)				
---	--	--	--	--	--

Base	(10.0)	(10.0)	(10.0)	(5.0)	(5.0)
Upside	(15.0)	(15.0)	(10.0)	(10.0)	(5.0)
Downside	(5.0)	(5.0)	(5.0)	(5.0)	(5.0)
Selected	(10.0)	(10.0)	(10.0)	(5.0)	(5.0)

Dividends paid (US\$bn)	FY2025: \$15.4bn; ~4% p.a. per-share growth				
-------------------------	---	--	--	--	--

Base	15.8	16.2	16.6	17.0	17.4
Upside	16.0	16.5	17.0	17.5	18.0
Downside	15.6	15.8	16.0	16.2	16.4
Selected	15.8	16.2	16.6	17.0	17.4

Share repurchases as % of FCF after dividends	Apple targets 'net cash neutral'; FY2023–25 buybacks were 92%, 102% and 109% of FCF after dividends				
---	---	--	--	--	--

Base	100.0%	100.0%	100.0%	100.0%	100.0%
Upside	110.0%	110.0%	110.0%	110.0%	110.0%
Downside	80.0%	80.0%	80.0%	80.0%	80.0%
Selected	100.0%	100.0%	100.0%	100.0%	100.0%

Scheduled debt repayment (US\$bn)	FY2025 maturities repaid \$10.9bn; 10-K maturity schedule				
-----------------------------------	---	--	--	--	--

Base	10.0	10.0	10.0	8.0	8.0
Upside	10.0	10.0	10.0	8.0	8.0
Downside	10.0	10.0	10.0	8.0	8.0
Selected	10.0	10.0	10.0	8.0	8.0

New long-term debt issued (US\$bn)	FY2025: \$4.5bn issued				
------------------------------------	------------------------	--	--	--	--

Base	5.0	5.0	5.0	5.0	5.0
Upside	-	-	-	-	-
Downside	8.0	8.0	8.0	8.0	8.0
Selected	5.0	5.0	5.0	5.0	5.0

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Historical financials FY2022–FY2025 from Form 10-K · reconciled to reported subtotals

Every subtotal ties to the reported statements. Receivables = trade + vendor non-trade receivables. 'Other' asset and liability lines are residuals to Apple's reported subtotals, so they include accrued expenses, deferred revenue, taxes payable and lease liabilities.

	FY2022A	FY2023A	FY2024A	FY2025A
INCOME STATEMENT				
Revenue	394.3	383.3	391.0	416.2
Cost of revenue	223.5	214.1	210.4	221.0
Gross profit	170.8	169.1	180.7	195.2
Research & development	26.3	29.9	31.4	34.6
Selling, general & administrative	25.1	24.9	26.1	27.6
Operating income (EBIT)	119.4	114.3	123.2	133.1
Other income / (expense), net incl. interest	(0.3)	(0.6)	0.3	(0.3)
Pre-tax income	119.1	113.7	123.5	132.7
Income tax	19.3	16.7	29.7	20.7
Net income	99.8	97.0	93.7	112.0
Net income as reported (check)	99.8	97.0	93.7	112.0
Diluted weighted average shares (bn)	16.326	15.813	15.408	15.005
Diluted EPS (US\$)	6.11	6.13	6.08	7.46
BALANCE SHEET				
Cash & short-term investments	48.3	61.6	65.2	54.7
Receivables (trade + vendor non-trade)	60.9	61.0	66.2	73.0
Inventory	4.9	6.3	7.3	5.7
Other current assets	21.2	14.7	14.3	14.6
Total current assets	135.4	143.6	153.0	148.0
Long-term marketable securities	120.8	100.5	91.5	77.7
Property, plant & equipment, net	42.1	43.7	45.7	49.8
Other non-current assets (incl. deferred tax)	54.4	64.8	74.8	83.7
Total assets	352.8	352.6	365.0	359.2
Accounts payable	64.1	62.6	69.0	69.9

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Historical financials FY2022–FY2025 from Form 10-K · reconciled to reported subtotals

Every subtotal ties to the reported statements. Receivables = trade + vendor non-trade receivables. 'Other' asset and liability lines are residuals to Apple's reported subtotals, so they include accrued expenses, deferred revenue, taxes payable and lease liabilities.

	FY2022A	FY2023A	FY2024A	FY2025A
Other current liabilities	68.8	66.9	86.6	75.4
Current debt (incl. commercial paper)	21.1	15.8	20.9	20.3
Total current liabilities	154.0	145.3	176.4	165.6
Long-term debt	99.0	95.3	85.8	78.3
Other non-current liabilities	49.1	49.8	45.9	41.5
Total liabilities	302.1	290.4	308.0	285.5
Common stock & APIC	64.8	73.8	83.3	93.6
Retained earnings / (deficit)	(3.1)	(0.2)	(19.2)	(14.3)
Accumulated other comprehensive loss	(11.1)	(11.5)	(7.2)	(5.6)
Total shareholders' equity	50.7	62.1	57.0	73.7
Total liabilities & equity	352.8	352.6	365.0	359.2
Balance check (assets – liabilities – equity)	-	-	-	-

CASH-FLOW ITEMS

Depreciation & amortisation	11.1	11.5	11.4	11.7
Stock-based compensation	9.0	10.8	11.7	12.9
Capital expenditure	10.7	11.0	9.4	12.7
Dividends paid	14.8	15.0	15.2	15.4
Share repurchases	89.4	77.6	94.9	90.7
Debt issued	5.5	5.2	-	4.5
Debt repaid	9.5	11.2	10.0	10.9
Cash from operations (reported)	122.2	110.5	118.3	111.5
Cash from investing (reported)	(22.4)	3.7	2.9	15.2
Cash from financing (reported)	(110.7)	(108.5)	(122.0)	(120.7)
Shares outstanding at year-end (bn)	15.943	15.550	15.117	14.773

HISTORICAL RATIOS (CALIBRATE THE INPUTS SHEET)

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Historical financials FY2022–FY2025 from Form 10-K · reconciled to reported subtotals

Every subtotal ties to the reported statements. Receivables = trade + vendor non-trade receivables. 'Other' asset and liability lines are residuals to Apple's reported subtotals, so they include accrued expenses, deferred revenue, taxes payable and lease liabilities.

	FY2022A	FY2023A	FY2024A	FY2025A
Revenue growth		(2.8%)	2.0%	6.4%
Gross margin	43.3%	44.1%	46.2%	46.9%
R&D % revenue	6.7%	7.8%	8.0%	8.3%
SG&A % revenue	6.4%	6.5%	6.7%	6.6%
EBIT margin	30.3%	29.8%	31.5%	32.0%
Effective tax rate	16.2%	14.7%	24.1%	15.6%
D&A % revenue	2.8%	3.0%	2.9%	2.8%
Capex % revenue	2.7%	2.9%	2.4%	3.1%
SBC % revenue	2.3%	2.8%	3.0%	3.1%
Receivable days	56.4	58.1	61.8	64.0
Inventory days	8.1	10.8	12.6	9.4
Payable days	104.7	106.7	119.7	115.4
Other current assets % revenue	5.4%	3.8%	3.7%	3.5%
Other current liabilities % revenue	17.4%	17.5%	22.1%	18.1%
Other non-current assets % revenue	13.8%	16.9%	19.1%	20.1%
Other non-current liabilities % revenue	12.5%	13.0%	11.7%	10.0%
Net debt / (net cash) incl. LT securities	(49.0)	(51.0)	(50.0)	(33.8)

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Integrated income statement, balance sheet, cash flow and schedules · FY2022A–FY2025A linked, FY2026E–FY2030E forecast

Scenario: Base

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
INCOME STATEMENT									
Revenue	394.3	383.3	391.0	416.2	441.1	463.2	486.3	505.8	526.0
growth %		(2.8%)	2.0%	6.4%	6.0%	5.0%	5.0%	4.0%	4.0%
Cost of revenue	223.5	214.1	210.4	221.0	233.8	244.6	255.8	265.5	276.2
Gross profit	170.8	169.1	180.7	195.2	207.3	218.6	230.5	240.3	249.9
gross margin %	43.3%	44.1%	46.2%	46.9%	47.0%	47.2%	47.4%	47.5%	47.5%
Research & development	26.3	29.9	31.4	34.6	36.6	38.4	40.4	42.0	43.7
Selling, general & administrative	25.1	24.9	26.1	27.6	29.1	30.6	32.1	33.4	34.7
EBIT	119.4	114.3	123.2	133.1	141.6	149.6	158.1	164.9	171.5
EBIT margin %	30.3%	29.8%	31.5%	32.0%	32.1%	32.3%	32.5%	32.6%	32.6%
Depreciation & amortisation (memo, in COGS/opex)	11.1	11.5	11.4	11.7	12.4	13.0	13.6	14.2	14.7
EBITDA	130.5	125.8	134.7	144.7	154.0	162.6	171.7	179.1	186.2
Interest income on cash & investments (opening balances)					5.3	5.1	4.9	4.7	4.6
Interest expense on debt (opening balances)					(3.9)	(3.7)	(3.5)	(3.3)	(3.2)
Other income / (expense), net	(0.3)	(0.6)	0.3	(0.3)	1.4	1.4	1.4	1.4	1.4
Pre-tax income	119.1	113.7	123.5	132.7	143.0	151.0	159.4	166.2	172.8
Income tax	19.3	16.7	29.7	20.7	23.6	24.9	26.3	27.4	28.5
Net income	99.8	97.0	93.7	112.0	119.4	126.1	133.1	138.8	144.3
net margin %	25.3%	25.3%	24.0%	26.9%	27.1%	27.2%	27.4%	27.4%	27.4%
SHARE COUNT & EPS									
Shares outstanding, year-end (bn)	15.943	15.550	15.117	14.773	14.373	13.972	13.571	13.176	12.787
assumed share price (US\$)				254.0	269.2	285.4	302.5	320.7	339.9
Diluted weighted average shares (bn)	16.326	15.813	15.408	15.005	14.617	14.215	13.813	13.414	13.020
Diluted EPS (US\$)	6.11	6.13	6.08	7.46	8.17	8.87	9.64	10.35	11.08
BALANCE SHEET									
Cash & short-term investments	48.3	61.6	65.2	54.7	59.7	64.7	69.7	71.7	73.7
Receivables	60.9	61.0	66.2	73.0	77.3	81.2	85.3	88.7	92.2
Inventory	4.9	6.3	7.3	5.7	6.4	6.7	7.0	7.3	7.6
Other current assets	21.2	14.7	14.3	14.6	15.4	16.2	17.0	17.7	18.4

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Integrated income statement, balance sheet, cash flow and schedules · FY2022A–FY2025A linked, FY2026E–FY2030E forecast

Scenario: Base

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Total current assets	135.4	143.6	153.0	148.0	158.9	168.8	179.0	185.4	191.9
Long-term marketable securities	120.8	100.5	91.5	77.7	67.7	57.7	47.7	42.7	37.7
PP&E, net	42.1	43.7	45.7	49.8	51.2	52.5	54.0	55.5	57.1
Other non-current assets	54.4	64.8	74.8	83.7	88.2	92.6	97.3	101.2	105.2
Total assets	352.8	352.6	365.0	359.2	366.0	371.7	378.0	384.8	391.9
Accounts payable	64.1	62.6	69.0	69.9	73.7	77.1	80.6	83.7	87.0
Other current liabilities	68.8	66.9	86.6	75.4	79.4	83.4	87.5	91.0	94.7
Current debt (incl. commercial paper)	21.1	15.8	20.9	20.3	20.3	20.3	20.3	20.3	20.3
Revolver (plug)	-	-	-	-	-	-	-	-	-
Total current liabilities	154.0	145.3	176.4	165.6	173.4	180.8	188.5	195.0	202.0
Long-term debt	99.0	95.3	85.8	78.3	73.3	68.3	63.3	60.3	57.3
Other non-current liabilities	49.1	49.8	45.9	41.5	44.1	46.3	48.6	50.6	52.6
Total liabilities	302.1	290.4	308.0	285.5	290.8	295.4	300.4	305.9	312.0
Common stock & APIC	64.8	73.8	83.3	93.6	107.2	121.6	136.7	152.4	168.7
Retained earnings / (deficit)	(3.1)	(0.2)	(19.2)	(14.3)	(26.5)	(39.7)	(53.5)	(68.0)	(83.1)
Accumulated other comprehensive loss	(11.1)	(11.5)	(7.2)	(5.6)	(5.6)	(5.6)	(5.6)	(5.6)	(5.6)
Total equity	50.7	62.1	57.0	73.7	75.2	76.3	77.6	78.8	80.0
Total liabilities & equity	352.8	352.6	365.0	359.2	366.0	371.7	378.0	384.8	391.9
Balance check (should be zero)	-	-	-	-	-	-	-	-	-

CASH-FLOW STATEMENT

Net income					119.4	126.1	133.1	138.8	144.3
Depreciation & amortisation					12.4	13.0	13.6	14.2	14.7
Stock-based compensation	9.0	10.8	11.7	12.9	13.7	14.4	15.1	15.7	16.3
(Increase) / decrease in receivables					(4.4)	(3.9)	(4.1)	(3.4)	(3.5)
(Increase) / decrease in inventory					(0.7)	(0.3)	(0.3)	(0.3)	(0.3)
(Increase) / decrease in other current assets					(0.9)	(0.8)	(0.8)	(0.7)	(0.7)
(Increase) / decrease in other non-current assets					(4.5)	(4.4)	(4.6)	(3.9)	(4.0)
Increase / (decrease) in accounts payable					3.8	3.4	3.5	3.1	3.3
Increase / (decrease) in other current liabilities					4.0	4.0	4.2	3.5	3.6
Increase / (decrease) in other non-current liabilities					2.6	2.2	2.3	1.9	2.0

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Integrated income statement, balance sheet, cash flow and schedules · FY2022A–FY2025A linked, FY2026E–FY2030E forecast

Scenario: Base

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash from operations	122.2	110.5	118.3	111.5	145.3	153.6	162.0	168.9	175.8
Capital expenditure	(10.7)	(11.0)	(9.4)	(12.7)	(13.7)	(14.4)	(15.1)	(15.7)	(16.3)
Net (purchase) / sale of long-term securities					10.0	10.0	10.0	5.0	5.0
Cash from investing	(22.4)	3.7	2.9	15.2	(3.7)	(4.4)	(5.1)	(10.7)	(11.3)
Dividends paid	14.8	15.0	15.2	15.4	15.8	16.2	16.6	17.0	17.4
Share repurchases	89.4	77.6	94.9	90.7	115.8	123.0	130.3	136.2	142.1
Long-term debt issued					5.0	5.0	5.0	5.0	5.0
Long-term debt repaid					10.0	10.0	10.0	8.0	8.0
Revolver draw / (repayment)					-	-	-	-	-
Cash from financing	(110.7)	(108.5)	(122.0)	(120.7)	(136.6)	(144.2)	(151.9)	(156.2)	(162.5)
Net change in cash	(11.0)	5.8	(0.8)	6.0	5.0	5.0	5.0	2.0	2.0
Opening cash & short-term investments					54.7	59.7	64.7	69.7	71.7
Closing cash & short-term investments					59.7	64.7	69.7	71.7	73.7

SCHEDULES

PP&E: opening					49.8	51.2	52.5	54.0	55.5
+ capex					13.7	14.4	15.1	15.7	16.3
– depreciation & amortisation					(12.4)	(13.0)	(13.6)	(14.2)	(14.7)
PP&E: closing					51.2	52.5	54.0	55.5	57.1
Long-term debt: opening					78.3	73.3	68.3	63.3	60.3
+ issuance					5.0	5.0	5.0	5.0	5.0
– repayment					(10.0)	(10.0)	(10.0)	(8.0)	(8.0)
Long-term debt: closing					73.3	68.3	63.3	60.3	57.3
Revolver: opening balance					-	-	-	-	-
Cash before revolver					59.7	64.7	69.7	71.7	73.7
Minimum cash					25.0	25.0	25.0	25.0	25.0
Revolver: closing balance					-	-	-	-	-
Net debt / (net cash) incl. LT securities	(49.0)	(51.0)	(50.0)	(33.8)	(33.8)	(33.8)	(33.8)	(33.8)	(33.8)
Free cash flow (CFO – capex)	111.4	99.6	108.8	98.8	131.6	139.2	146.9	153.2	159.5

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Integrated income statement, balance sheet, cash flow and schedules · FY2022A–FY2025A linked, FY2026E–FY2030E forecast

Scenario: **Base**

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Shareholder returns (dividends + buybacks)	104.2	92.6	110.2	106.1	131.6	139.2	146.9	153.2	159.5
as % of free cash flow	93.5%	93.0%	101.3%	107.5%	100.0%	100.0%	100.0%	100.0%	100.0%

Apple Inc. — Three-Statement Operating Model

APPLE INC.

Model integrity checks · every row should read 0 or TRUE

	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030
Balance sheet balances (assets – liabilities – equity)	-	-	-	-	-	-	-	-	-
Cash-flow closing cash = balance-sheet cash	-	-	-	-	-	-	-	-	-
PP&E schedule closing = balance-sheet PP&E	-	-	-	-	-	-	-	-	-
Debt schedule closing = balance-sheet LT debt	-	-	-	-	-	-	-	-	-
Cash never below minimum (TRUE)	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE
Historical net income ties to reported (0)	-	-	-	-	-	-	-	-	-

OVERALL	MODEL OK
---------	----------